

NDOLA CITY COUNCIL

MINUTES OF THE PROCEEDINGS OF THE MEETING OF AUDIT COMMITTEE HELD IN THE COUNCIL CHAMBER, CIVIC CENTRE, INDEPENDENCE WAY ON WEDNESDAY 25TH SEPTEMBER, 2024 AT 14:58 HOURS.

PRESENT

MEMBERS

Councillor Gilbert Chota
Councillor Bernard Chama
Councillor Brian Nkole
Councillor Kabwebwe Ntambo
Councillor Joseph Chanda
Councillor Gift Kunda
Councillor Oscar Sinyinza
His Worship the Mayor Jones Kalyati

DESIGNATION

Chairperson
Member
Member
Member
Member
Member
Member
(Ex-Officio)

WARD

Toka
Kamba
Daghammaskjoeld
Twapia
Nkwazi
Kantolomba
Lubuto
Ndola

ABSENT WITH APOLOGY

Councillor Sandra Mwananyanda
The Deputy Mayor Luckson Chisenga

Member
(Ex-Officio)

Kavu
Mapalo

PRESENT BY INVITATION

Councillor Francis Kazembe
Councillor Kaweme Lombe
Councillor Andronicus PK Ngulube
Councillor Cindy Kaluba
Councillor Febian Mwanza
Councillor Simon Muleba
Councillor Francis Kabwe
Councillor James Banda
Councillor Emmanuel Mulenga

WARD

Mukuba
Munkulungwe
Masala
Mushili
Skyways
Fibobe
Kawama
Kafubu
Lupili

IN ATTENDANCE

DESIGNATION

Town Clerk
Director of Human Resource & Administration
Director of City Planning
Director of Engineering Services
Assistant Director of Housing and Social Services
Assistant Director of Finance
Assistant Director of Finance - Valuation
Assistant Director of Public Health
Assistant Director of Engineering Services
Public Relations Manager

NAME

Mr. George Mulenga
Ms. Chembe Chishimba
Mr. Christopher Lukwesa
Mr. Elias Mwalaba
Ms. Catherine B. Chela
Mr. Shem Samalela
Mr. Ian Chibale
Mr. Evans Chiinza
Ms. M.N Chisela
Ms. Rebecca Mushota

Council Advocate
Council Advocate
Chief Internal Auditor
Chief Committee Clerk
Chief Accountant
Legal Officer
Group Internal Auditor
Group Internal Auditor
Acting Commercial Manager
Committee Clerk
Assistant Committee Clerk

Ms. Bwalya K. Makina
Ms. Mudenda H. Cheelo
Mr. Cosmas Chizu
Mr. Kondwani Masebo
Ms. Esmmy Chisenga
Ms. Jacquelline Chalawila
Ms. Chitunga C. Chirembo
Mr. Joel Simukoko
Mr. Shula Chanda
Ms. Mwelwa Musenga
Mr. Emmanuel Makulika

OPENING PRAYER

Prior to commencement of the meeting, a prayer was given by Councillor Oscar Sinyinza.

DECLARATION OF INTEREST

There was no declaration of interest recorded.

NOTICE OF MEETING

The notice convening the meeting was read by the Town Clerk, Mr. George Mulenga.

AUD/66/09/2024

CHAIRPERSON'S REMARKS

In his opening remarks, the Committee Chairperson Councillor Gilbert Chota welcomed all members to the meeting and stated that Audit Committee was important as it was one section which upheld accuracy in terms of operations. The Chairperson and the Committee welcomed the Chief Internal Auditor who was transferred from Mulobezi Town Council to Ndola City Council urging him to feel free at his new station.

Thereafter, he declared the meeting officially open.

REPORT OF THE CHIEF INTERNAL AUDITOR

AUD/67/09/2024

FAILURE TO RECOVER UNSETTLED BILLS

The Chief Internal Auditor reported to the Committee the findings on the failure to recover unsettled bills as stated below;

Criteria

Under section 9 (h) of the Public Finance Management (General) Regulations, 2020 requires the head of the accounting unit of the Local Authority to “collect in a timely manner all revenue due to the local authority.”

Condition

A review of financial records for New Ambassador Hotel and Kafubu Inn for the period from January 2024 to June 2024 revealed an amount that was being owed was totalling **K6,268,946.00** by various Debtors from unsettled bills incurred on meals and accommodation as far back as 2013. *See Appendix 1 and 2.*

Institution	Amount(K)
Ambassador Hotel	4,774,567
Kafubu Inn	1,494,379
Total	6,268,946

*A special full report on the two ventures was in place.

Risks

The commercial ventures would fail to run efficiently and effectively. This made it difficult for management of the commercial ventures to have a serious approach to business as a commercial venture.

Recommendation

- i. Management should ensure that the debts were recovered from people concerned in any possible way either by payroll deductions if possible.
- ii. The Council should surrender one vehicle to the Commercial ventures.
- iii. The Council should rehabilitate the Roof at Kafubu Inn and the cost be deducted from the debt that Council owed.
- iv. The Council should support purchasing CDF refreshments and lunch from the two venture once in a while as a way of boasting their business.
- v. A serious proposal to go into Public-Private Partnership (PPP).

Management response

Management wished to respond that the failure to collect **K6,268,946.00** was attributed to many factors among them absence of Commercial Manager on the establishment of the council to pursue debt recoveries, verbal instructions issued by officers without authority of the Town Clerk and failure to pay for services rendered to the council on some meetings. To

address the above gaps and keeping in line with the recommendation from audit section, the following measures were being undertaken;

- i. A Commercial Manager had been appointed for administrative convenience while awaiting the Commission medical review at Chainama Hospital where he was an out patient for alleged mental disorder.
- ii. The office of the Town Clerk had issued written instructions to all senior officers not to give verbal instruction relating to business of the ventures without written authority of the Town Clerk.
- iii. Letters of demand to all debtors to pay the bills had been issued dated 24th September, 2024 and concerned staff had been warned about pay roll deductions to the affected in an event of failure to pay.
- iv. The Mechanical Engineer had been instructed to work on one of the non-runners to be repaired and handed over for use by the Commercial Venture.
- v. The cost of renovations for the Kafubu inn would be put in the 2025 budget.
- vi. A project proposal to would be investors was being worked out by management regarding lease of the unprofitable Commercial ventures.
- vii. Effective 1st October 2024, Management had directed that Commercial ventures should be paying wages for all employees working from the Commercial Ventures.

On a proposal by Councillor Bernard Chama and duly seconded by Councillor Brian Nkole, it was;

RECOMMENDED:

That measures made by management to address the failure to recover unsettled bills be *Approved*.

AUD/68/09/2024

FAILURE TO SERVICE MOTOR VEHICLES

It was reported by the Chief Internal Auditor the findings on the failure to service motor vehicles as stated below;

Criteria

In accordance with the Financial Regulations 97 of 2020 part II 4(d) *states that, controlling officers should ensure that they manage and safeguard assets and for the management of the revenue, expenditure and liabilities of a state-owned enterprise or local authority.*

Condition

The local authority had over 30 unserviced motor vehicles that had been parked for a long time without any attention at different locations. (See appendix 4)

*The full special report was in place.

Cause

Unknown

Consequence

The Council would be cited for failure to manage our Assets.

Corrective Recommendation

Management should ensure that all non-runner motor vehicles were managed and serviced for use in Council operations.

Management should also consider thinking of disposing off some of the old fleet to avoid theft of some motor vehicle parts.

Management Response

Management wished to state that the failure to service motors vehicles timely as they fall due was mainly owing to cash flow constraints.

Action taken

Management had instructed the Mechanical Engineer to be preparing a schedule of motor vehicle servicing one month in advance to enable finance department plan finance resource allocation. The schedule attached would be adhered to once date of servicing due was inserted.

Upon a proposal by Councillor Gift Kunda and duly seconded by Councillor Ntambo Kabwebwe it was;

RECOMMENDED:

That the action taken by management to address the failure to Service Motor Vehicles be *Approved*.

AUD/69/09/2024

FAILURE TO OBTAIN ZRA CLEARANCE BEFORE PAYMENT.

The Chief Internal Auditor reported the findings on the failure to obtain ZRA clearance before payment as stated below;

Criteria

Treasury and Financial Management Circular No. 7 of 2023 required that all Ministries and statutory bodies should obtain clearance from Zambia Revenue Authority (ZRA) before payments were made to suppliers. Ministries, Government Departments and Statutory Bodies should withhold, if any, from payments to suppliers for onward remittance.

Condition

Contrary to the circular, most or almost all payments were being made to suppliers for procurement of various goods and services without obtaining clearance from ZRA under garnishing method. The vetting was only done for 48 hours to clear. (See appendix 5).

Risk

Loss of public funds in form of taxes.

Consequence

The Council would be cited for going against the guidance (*Circular No. 7 of 2023 quoted above*).

Corrective Recommendation

Management should ensure that all payments were cleared by ZRA before engaging suppliers using the format below.

SN	Name of Supplier/ Contractors	TPIN	Invoice No.	Invoiced Amount	Description of Goods & Services	Amount After VAT	VAT Paid
1							
2							
	TOTAL						

Management Response

Management wished to state that all the payments were made because of the following reasons;

1. There was pressure of mopping of funds by the Ministry of Finance.
2. There was also pressure from stakeholders to spend the funds, in order to access more funds.
3. ZRA had not yet connected the Council to the ZRA clearing network system as was guided by ZRA during a consultative meeting.

Action Taken

ZRA was given emails through which to communicate the afore said guidance, which was still being expected.

Remedial Measure

Management had put in place a compliance mechanism whereby immediately the contractor or supplier made a claim for payment their details were shared with ZRA even before certification of their works.

Upon a proposal by Councillor Ntambo Kabwebwe and duly seconded by Councillor Joseph Chanda it was;

RECOMMENDED:

That Management should ensure that contractors were cleared by ZRA on withholding tax before payments were made.

AUD/70/09/2024

FAILURE TO AVAIL ACTIVITY REPORTS.

It was reported by Chief Internal Auditor the findings on the failure to avail activity reports as stated below;

Criteria

Section 5 (b) (3) of the Public Finance Management (General Amendment) Regulations of 2023 required that an officer who travels within the Republic on duty shall be paid subsistence allowance as direct payment receipted by an activity report by that officer.

Conditions

Contrary to the regulation, officers undertake activities such as attending workshops and many others seminars without attaching activity reports making it difficult to ascertain whether the assignments were undertaken or not. A review conducted on District Fund Account 259 from January 2024 to June 2024 revealed a number of travels without activity reports (**refer to Appendix 6**).

Risk

Activity might not have been undertaken.

Consequence

The Council would be cited for having weak internal controls.

Corrective Recommendation

Management should ensure that Activity Reports were prepared whenever activities were undertaken.

Cause

Not Known.

Management Response

Management wished to respond that activity reports were being prepared but the conduct had not been consistent by officers. Management had written to remind all affected council officials to ensure that activity reports on trips they had undertaken were produced and availed to the Internal Audit unit by October, 2024. *See the attached remainder.*

On a proposal by Councillor Ntambo Kabwebwe and duly seconded by Councillor Brian Nkole it was;

RECOMMENDED:

That measures taken by Management to address the failure to avail activity reports be *Approved.*

AUD/71/09/2024

FAILURE TO MANAGE INSTITUTIONAL DEBT STOCK

The Chief Internal Auditor reported the findings on the failure to manage institutional debt stock as stated below;

Criteria

Under the Public Finance Management Act No. 1 of 2018, the Office holder shall be responsible for managing public debt.

Condition

It had come to the attention of audit that Ndola City Council had accumulated an additional debt of **K11,704,958.03** in the space of six months from January, 2024 to June 2024. This was not only alarming but a threat to the institutional assets as it attracted legal implications. (See **appendix 8**).

*A special report on debt stock was in place.

Risk

- Failure to settle debt could cause an institution to lose credibility.
- Loss of assets through Bailiffs
- Vulnerability on the part of the employees, e.g. NAPSA, NHIMA and MADISON FUNERAL POLICY were not being remitted.

Consequence

The Council would be cited for failure to manage of debt stock.

Corrective Recommendation

Management should ensure that they come up with debt liquidation plans to aggressively manage the institutional debt.

Management should take advantage of the Government waivers in order to create a win-win situation.

Management should also try and engage Government on the historical debt on how best the council could be bailed out as an institution.

Cause

Not Known.

Management Response

The failure to timely manage debt was owing to constrained financial position of the Council. Management embarked on broadening the revenue base of the Council such as creation of plots in Misaka, making the supplementary Valuation Roll, introduction of the truck levy and stock taking the regularization of buildings in the city. It envisaged that Council would steadily and financially stabilise to enable management direct finances towards creditors like NAPSA, NHIMA and Madison. To this effect, payment plans had been proposed with respective creditors soon to be signed by the parties.

Upon a proposal by Councillor Ntambo Kabwebwe and duly seconded by Councillor Bernard Chama it was;

RECOMMENDED:

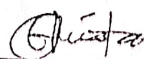
That measures taken by management to address the failure to manage Institutional debt stock be *Approved*.

There being no other business to transact, the meeting ended at 16:03 hours after a closing prayer by the Chief Committee Clerk Mr. Kondwani Masebo.

Signed in accordance with the Resolutions of the Audit Committee Meeting held on 25th September, 2024

25/09/2025

DATE



CHAIRPERSON

